

assessed primarily for the purpose of identifying which type of biases dominate (cognitive or emotional) and what action should be taken in response to observed behaviors and with regard to the investor's overall wealth level. The two basic forms of action are either to adapt to the bias or to moderate the impact of the bias. When investors adapt to a bias, they accept it and make decisions that recognize and adjust for the bias rather attempting to reduce the impact of the bias. The resulting portfolio represents an alteration of the rational portfolio; the alteration responds to the investor's biases while considering financial goals and level of wealth. When investors and advisors moderate the impact of a bias, they recognize the bias and attempt to reduce or even eliminate the bias within the individual investor rather than accepting the bias. The resulting portfolio is similar to the rational portfolio, and a program is adopted to reduce or eliminate the investor's biases.

The next section examines guidelines for determining a modified portfolio including an explanation of how to assess one's wealth level. It adopts the perspective of a private wealth manager working with an individual client. The approach can be used with modifications in other situations.

GUIDELINES FOR DETERMINING BEST PRACTICAL ASSET ALLOCATION

This section has been adapted from an article entitled "Incorporating Behavioral Finance into Your Practice," which I, with my colleague John Longo, originally published in the March 2005 *Journal of Financial Planning*. It sets forth two guidelines for constructing a best practical allocation (also referred to as a behaviorally modified asset allocation) in light of client behavioral biases. These guidelines are not intended as prescriptive absolutes, but rather should be consulted along with other data on risk tolerance, financial goals, asset class preferences, and so on. The guidelines are general enough to fit almost any client situation; however, exceptions can occur. Later on, some case studies provide a better sense of how these guidelines are applied in practice.

To review, recall that when considering behavioral biases in asset allocation, financial advisors must first determine whether to moderate or to adapt to "irrational" client preferences. This basically involves weighing the rewards of sustaining a calculated, profit-maximizing allocation against the outcome of potentially affronting the client, whose biases might position them to favor a different portfolio structure entirely. The guidelines laid out in this section offer guidelines for resolving the puzzle "When to moderate, when to adapt?"